

Crossing pattern. Price oscillates up and down within the triangle, with each wave getting smaller. Price should cross the pattern from top to bottom plenty of times to fill the whitespace. If you have a glob of whitespace in the middle of the pattern, then you've made a mistake.

Breakout direction. Price can break out in any direction, including none at all when price just meanders out the triangle apex. The breakout direction is random, though, with a slight edge to upward breakouts 51% of the time.

Volume. Volume typically recedes over the course of triangle development. As price approaches the breakout, it usually becomes quite low, as if gathering strength before a wrestling match, and then explodes upward during the breakout.

Volume need not be high during the breakout or low preceding the breakout, but that is the typical behavior. Do not exclude a descending triangle just because volume looks unusual.

Identification Challenges

Triangles are easy to spot. However, there are some situations that dictate a careful approach. [Figure 65.3](#) shows an example of what looks like a descending triangle, but is not. The volume trend does not conform to the usual receding pattern. In this example, volume rises along with price at the start of the triangle and then tapers off at the top when price rounds over. However, volume climbs as price descends and then ignites the day after the breakout.

Volume for many chart pattern types is not a crucial factor, and you should not attach too much significance to it. However, a volume pattern that is not characteristic raises a warning flag. Coupled with other factors, it might cause you to bypass the stock and look elsewhere for a more promising situation.

The price picture is even worse. Well-formed descending triangles have price crossing from top to bottom several times. There is no massive amount of whitespace in the center of the triangle, but this one has it in abundance. Contrast [Figure 65.3](#) with [Figure 65.1](#).